

permitted to choose how to invest your employer's matching contribution. Many large companies will provide only their own company's stock as a match.

One side note: Since retirement accounts allow your money to grow in a tax-favored way, you may want to consider the advantages (and disadvantages) of putting certain investments in them. For instance, it doesn't make sense to put tax-free bond funds into an IRA or 401(k); stick with taxable investments only. (For a discussion of different investment options and suggestions on the pros and cons of each, see Chapter 5.)

↓ CONTRIBUTING TO YOUR 401(K)

Contributions you make to a traditional 401(k) actually benefit from two tax breaks—one up front, the other in the long term. (There's an exception to this rule with the newly introduced Roth 401(k), but I'll talk about that a bit later in this chapter.) First, the government allows you to delay paying taxes on the money you contribute to a 401(k) each year until you withdraw it from your account down the road. This is known as a **pretax** contribution. So if you earn \$40,000 in a year and you put \$1,000 into a 401(k), you're taxed as if you had earned only \$39,000 that year. Assuming you're in the 25% tax bracket, you'll save \$250 that year—the 25% of that \$1,000 you would otherwise have had to pay in taxes. (See Chapter 9 for more on how to calculate this kind of tax deduction.) The other, longer-term benefit of a 401(k) is that you get to delay paying taxes on the *interest* (or other earnings) your retirement account generates over the years.

It's true that when you withdraw the money at the time of your retirement, you will pay taxes on the whole sum—the amount you contributed plus your earnings. But because the money is able to grow untaxed for many years, paying taxes later rather than sooner could result in thousands of dollars more for you when you retire.

If you go to work for a company that has a 401(k) plan, it's possible that your employer will automatically enroll you and divert a bit of your salary (generally 3%) for you into the 401(k). More and more companies are beginning to do this in order to increase participation. Of course, you could decide that you want to opt out (or reduce your contribution), but you'll have to make a conscious effort to do so—and the financial gods would